SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

APPLICABILITY

Optionally available to Qualified Customers as defined in Special Condition (SC) 3, where the Owner of the property is participating in the Solar on Multifamily Affordable Housing ("SOMAH") Program, has received incentives for and installed a solar electricity generating facility through the SOMAH program that is interconnected and operates in parallel with the Utility's transmission and distribution systems that is intended primarily to offset part or all of the property's electrical requirements[1] (hereinafter "eligible Customer-Generator"), and contracts with the Utility to have all eligible output from the generator supplied to the Utility for the purpose of providing a credit to the Qualified Customers within the property. The terms of this schedule shall apply to any Qualified Customer that is designated by the Owner on a Solar Generation Credit Allocation Request Form 142-02768 ("Credit Allocation Form"), unless the customer provides written notification to the Utility declining to receive a credit. This Virtual Net Energy Metering-SOMAH Tariff (VNEM-SOMAH) facilitates cost savings for Owners by avoiding the installation of an eligible customer-generator on each individual dwelling unit, and also provides Qualified Customers with benefits that would otherwise be provided under Schedule NEM-ST.

This schedule shall become available to eligible SOMAH Customer-Generators and their tenants, Qualified Customers under the SOMAH program, upon request, for up to 20 years or the **end of the** life of the system, whichever **comes first.**

Accounts not fully utilizing energy allocated to them under this schedule may be eligible for additional compensation at the conclusion of their Relevant Period, as described in SC 8.

Service on this rate schedule must be taken in combination with the Qualified Customer's otherwise applicable rate schedule ("OAS").

Qualified Customers must be separately metered by San Diego Gas & Electric. Master metered customers are not eligible.

Service under this Schedule is available to an eligible Owner of an eligible Property with one or more Eligible Generators on a first-come, first-served basis while funding is available.

Qualified Customers who participate in Direct Access (DA) or Community Choice Aggregation (CCA) are eligible for service under this Schedule consistent with the services SDG&E provides to other DA and CCA Customers.

All Qualified Customers are permitted to participate in demand response or emergency reliability programs for which the customer is otherwise eligible. N N

1. Electrical requirements means the recorded kWh usage associated with all identified benefitting accounts. over the most recent 12-month period preceding the submission of an interconnection agreement.

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

TERRITORY

Within the entire territory served by the Utility.

RATES

The Qualified Customer Bill, as determined under SC 8c., is applicable, less Customer's Allocated Credit.

Qualified Customers may choose to be served under any applicable rate.

At the time the eligible Customer-Generator completes its interconnection, Qualified Customers not currently subject to Rule 12 shall be permitted to elect any applicable residential or commercial rate option. In the absence of an election, Qualified Customers will take service under SDG&E's standard applicable rate schedule. A Qualified Customer who optionally elects an applicable rate will have the option to elect a different rate at a future point, as provided for under Electric Rule 12.

In addition, under circumstances where an eligible customer-generator completes its interconnection application pursuant to this schedule prior to the date that default residential Time Of Use (TOU) rates go into effect, Qualified Customers may exercise the option to maintain their current rate by opting out of the default rate. Under circumstances where an eligible customer-generator completes its interconnection application pursuant to this schedule after the date that default residential TOU rates go into effect, residential customers may elect an applicable non-TOU applicable rate.

Residential Qualified Customers are exempt from the NEM-ST requirement to take service under a TOU rate. Residential Qualified Customers will still default to TOU rates when they are implemented for residential customers, but may choose to opt out of TOU rates. Commercial or Common area accounts associated with SOMAH projects remain subject to otherwise applicable default or mandatory TOU rates.

All eligible Qualified Customers taking service under this schedule are responsible for paying all current and future non-bypassable charges (for example, pursuant to D.16-01-04, are defined as Public Purpose Program [PPP] charges, Nuclear Decommissioning [ND] charges, the Competition Transition Charge [CTC], the Department of Water Resources Bond Charge [DWR-BC], and the Wildfire Fund Non-Bypassable Charge [WF-NBC]). These charges are calculated based on the total energy delivered by the Utility, T T

To accurately calculate non-bypassable charges for customers participating in SDG&E's Residential Electric Smart Meter Opt-Out program and requesting service under this Schedule, an interval data recoding (IDR) meter with no radio communications ability will be used in place of the wireless meter to provide electric service for residential customers who elect this option.

SDG&E rates and rate design, including the rates and rate design reflected in this Tariff, are subject to change from time to time. Customers should take this into consideration when making any long-term decisions based on rate structures that are currently in place.

(Continued)

SCHEDULE VNEM-SOMAH

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VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH) N

SPECIAL CONDITIONS N

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1.

2. Treatment of Generation: Eligible customer-generators that are installed and utilized in providing service under terms of this rate schedule shall be treated as though they were installed and utilized under terms of Schedule NEM-ST, unless otherwise specified herein.

3. Qualified Customer: Is a customer that is receiving service on a rate schedule that would be applicable to a similar customer receiving service in combination with Schedule NEM-ST and meets one of the following conditions:

   a) is a separately metered tenant located on a property participating in the SOMAH program as determined by the Program Administrator or

   b) is the Customer Generator participating in SOMAH as determined by the Program Administrator. The Qualified Customer definition shall extend to Customer Generator for the purpose of billing common use areas and unoccupied units.

4. Customer Generator Owner: The Enterprise, or Entity, that owns the property that makes it eligible for participation in the SOMAH program.

5. Property: All of the real property and apparatus employed in a single low-income housing enterprise on contiguous parcels of land and deemed eligible by the Program Administrator, within the applicable program rules. N

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

6. Generator Interconnection Responsibility: To be eligible for VNEM-SOMAH service, the Owner shall have an effective interconnection agreement with the Utility and have submitted a Solar Generation Credit Allocation Request, Form 142-02768 ("Credit Allocation Request"), to the Utility. In addition, the Owner shall have paid all costs associated with the Utility installing a Generator Output Meter capable of recording in 15 minute increments, any wiring, trenching, conduit, or other facility costs incurred by the Utility to interconnect with the Owner's eligible customer-generator adjusted based on Rule 2 factors for a one-time payment. The location of the customer's Generator Output Metering equipment shall be approved by the Utility, and will normally be grouped with the service and metering equipment for one, or more, of the tenant or common area meters. Eligible customer-generators whose system capacity is equal to or less than one MW shall be responsible for paying an interconnection fee of $132.00. Eligible customer-generators whose system capacity exceeds one MW shall be responsible for paying an interconnection fee of $800.00. Additionally, all customers installing a solar electricity generating facility with a capacity in excess of 1 MW shall be subject to Network and/or Distribution upgrade costs in accordance with Rule 21.

   All Customers with Generating Facilities sized larger than 1 MW seeking interconnection with SDG&E's Transmission System shall apply to the CAISO for interconnection and be subject to the CAISO Tariff, and must submit an executed CAISO interconnection agreement prior to receiving service under this Schedule. Such Customers shall also submit an online *Interconnection Application for Customer with Solar and/or Wind Electric Generating Facilities Greater than 30 Kilowatts and for Customers Installing Energy Storage Paired with Such Generating Facilities (Form 142-02773) to SDG&E* for the purpose of determining eligibility under this Schedule, but shall not be required to submit any fee in connection with Form 142-02773. Additionally, Customers with Generating Facilities sized larger than 1 MW seeking interconnection with SDG&E's Transmission System shall be subject to applicable interconnection cost responsibility provisions set forth in the CAISO Tariff. These requirements are not applicable to Eligible Generators with Permission to Operate (PTO) letters received as of May 6, 2022 or proposed Eligible Generators with materially complete interconnection applications submitted as of May 6, 2022. N N

   If there is any load behind the Generation Output Meter in addition to incidental load related to the operation of the eligible customer-generator, SDG&E reserves the right to require, at the Owner's expense, the purchase and installation of metering equipment necessary to determine the total generation and total usage at the interconnection point. Such usage shall be billed as a common area account to ensure that all eligible generation output is allocated and that netting only occurs after credits have been allocated.

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

7. Solar Generation Credit Allocation Request Form (Form 142-02768): A form completed by the Owner that designates how the Energy Exported, as defined in SC 8, will be allocated among the tenants and common use of the property. Except as permitted under Special Condition 11, The NGOM should record the generation intended for the benefit of all the Benefitting Accounts, which will be allocated in accordance with Special Condition 8 (Billing Process). The initial Owner-designated percentage split between common use and tenants shall become effective on the regularly scheduled monthly meter read date closest to the date on which the form is received by the Utility and will remain in effect for a minimum of 20 years, or for the life of the system if less than 20 years. The designated allocation between tenant units shall remain in effect for a minimum of twelve months. The Owner may submit an updated form to revise these allocations thereafter as allowed by the SOMAH program. These additional adjustments must also remain effective for at least twelve months. Modified Credit Allocation Requests shall become effective on the first regularly scheduled monthly meter read date that is at least 15 days following receipt by the Utility.

   The SOMAH Program Administrator shall bear responsibility for ensuring that the percent allocations for individual Qualified Customers are based on the relative size of the tenant's unit, consistent with the manner in which credits are allocated per the SOMAH program's rules. Per the program rules, each tenant unit in the property must receive a percent allocation of the total tenant-designated credit. Credit that is allocated to a particular unit, but not applied to a Qualified Customer's bill due to occupant nonparticipation or unit vacancy (no active account) will be retained by the Utility. To retain credits on vacant units, the Owner shall not be precluded from executing a Continuity of Service Agreement (Form 124-463) so that the generation allotted to a benefiting premise will be applied to the Owner's account, after a tenant terminates service.

   Vacant Units: Residential or nonresidential vacant units may have a zero percent allocation form the renewable electrical generation facility (Generation Facility) when the vacation unit is between tenancies and at the request of the generating account customer or the Generation Facility owner. If a "Designated Account" has been assigned, then the allocated percentage benefit will be transferred to that "Designated Account" based on the process outlined in this tariff.

   When the customer of record for a Benefitting account in a VNEM-SOMAH Arrangement changes, the new customer of record will take service under this schedule in accordance with the allocated percentage provided previously for the Benefitting Account in the VNEM-SOMAH Arrangement with no action being required for the new customer. N N N N

8. Billing Process: The following billing process shall be used.

   a) Energy Exported: The metered output, delivered to the grid, as recorded by the Generator Output Meter and validated by the appropriate Utility billing processes during the specific billing period.

   b) Allocation of Credit: Monthly allocated Credits for common areas and Qualified Customers are determined by multiplying the monthly Energy Exported (kWh) by the percentages contained in the Credit Allocation Request on file with the Utility, and then converting each kWh credit to dollars using the Qualified Customer's OAS.

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued) N

8. Billing Process: The following billing process shall be used (continued).

c) Qualified Customer Bill: The OAS for each Qualified Customer, adjusted to conform to the conditions set forth in Schedule NEM-ST. Qualified Customers served under this schedule are responsible for all charges from their OAS including monthly billed minimum charges, customer charges, meter charges, facilities charges, energy and demand charges, excluding any adjustments due to power factor provisions. Applicable demand charges are defined in the OAS. Any non-bypassable charges shall be billed based on the total energy delivered by the Utility.

d) Virtual Net Energy Metering and Billing: VNEM means measuring the difference between the electric energy supplied by the Utility to Qualified Customers and the electric energy generated by an eligible customer-generator, fed to the electric grid, and credited to Qualified Customers over a 12-month period (Relevant Period).

At the end of each Relevant Period , the Qualified Customer shall be billed for net electric energy used during that period and the non-bypassable charges for the total energy delivered by the utility. If a Qualified Customer terminates service under this rate schedule prior to the end of any Relevant Period, the Utility shall reconcile the customer's consumption of electric energy with any remaining credit, and bill the customer as if it were the end of the normal Relevant Period.

(1) For an OAS with Baseline Rates:

If the Qualified Customer is a net consumer for the month, the net kWh consumed shall be billed in accordance with the Qualified Customer's OAS. If the Qualified Customer is a net generator, the net kWh generated shall be valued at the applicable baseline rates up to the billing period's baseline allowance, with any excess kWh generated valued at the applicable non-baseline rates. Any non-bypassable charges shall be billed based on the total energy delivered by the Utility.

(2) For an OAS with Time-of-Use Rates

If the Qualified Customer is a net consumer during any discrete TOU period, the net kWh consumed shall be billed at the applicable TOU rates charged in the OAS. If the Qualified Customer is a net generator, the net kWh generated shall be valued at the applicable TOU rates charged in the OAS. Any non-bypassable charges shall be billed based on the total energy delivered by the Utility. N

(Continued)

SCHEDULE VNEM-SOMAH

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VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH) N

SPECIAL CONDITIONS (continued) N

8. Billing Process: The following billing process shall be used (continued)

e) Net Surplus Compensation: A NEM-ST customer with "net surplus electricity" (all electricity generated by an eligible customer measured in kilowatt-hours over a 12-month period that exceeds the amount of electricity consumed by that eligible customer), is eligible to receive net surplus compensation ("NSC"), valued in accordance with the methodology adopted in D.11-06-016. If a customer has not generated excess kWhs, the customer is not eligible for NSC.

f) Compensation for net surplus energy: SDG&E will compensate eligible Qualified Customers with excess kWhs at the end of their relevant period for both the value of the electricity and the value of the renewable attributes. The utility will provide compensation for net surplus generation using the following formula:

NSC = Value of Electricity + Value of Renewable Energy Credits (if applicable)

(1) Value of the Electricity -

Value of Electricity = Net surplus kWhs x DLAP price

The utility will use SDG&E's Default Load Aggregation Point (DLAP) price as the basis for the net surplus compensation rate (adopted in D.11-06-016). DLAP reflects the costs the utility avoids in procuring power during the time period net surplus generators produce excess power.

This rate is the simple rolling average of SDG&E's DLAP price from 7 a.m. to 5 p.m. corresponding to the customer's 12-month relevant period. The rolling average will be calculated on a monthly basis and be applied to all customers with a relevant period in the following month.

The utility uses a full 12 months of DLAP prices, as published on the CAISO Open Access Same-time Information System (OASIS), ending the twentieth (20th) day of each month. The utility then calculates the net surplus compensation rate within five days of the first of the month to allow the CAISO to finalize the day-ahead DLAP prices. This rate is applied to all eligible net surplus generators, irrespective of their rate class. N

(Continued)

SCHEDULE VNEM-SOMAH

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VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH) N

SPECIAL CONDITIONS (continued) N

8. Billing Process: The following billing process shall be used (continued)

f) Compensation for Net Surplus Energy (continued)

(2) Value of Renewable Energy Credits –

Value of Renewable Energy Credits = Net surplus kWhs x Average Renewable Premium

The California Energy Commission (CEC) has determined the eligibility of net energy metering customer facilities for the Renewables Portfolio Standard (RPS) and developed an ownership verification and tracking process for Renewable Energy Credits (RECs) created by net surplus generators, which is set forth in the CEC's RPS Eligibility Guidebook, available at: http://www.energy.ca.gov/renewables/documents/#rps

The Utility will include a Renewable Attribute Adder (RAA) with the NSC rate if the eligible customer has: (1) certified ownership of RECs associated with his net surplus generation and provides this certification to the Utility; (2) obtained RPS certification from the CEC for his renewable electrical generation facility and provides this certification to the Utility; and (3) transfers the ownership of the RECs associated with his net surplus electricity to the Utility using the Western Renewable Energy Generation Information System (WREGIS). To effectuate these requirements, Customers requesting Utility compensation for the RAA must complete the Net Energy Metering Renewable Energy Credits Compensation Agreement (Form 182-1000).

The renewable attribute adder will be calculated using the most recent Western Electricity Coordinating Council (WECC) average renewable premium, based on United States Department of Energy (DOE) published data. The renewable attribute adder will only be paid to those net surplus generators who provide RECs to the Utility. This rate will be updated annually and is available at: http://www.sdge.com/nem. N

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

8. Billing Process: The following billing process shall be used (continued)

   f) Compensation for Net Surplus Energy (continued)

      (2) Value of Renewable Energy Credits – (continued)

      In accordance with the process established in D.11-06-016, Qualified Customers who elect to receive NSC must notify the Utility that they are a Qualifying Facility exempt from certification filing at the Federal Energy Regulatory Commission ("FERC"). Since all eligible customer-generators with net power production capacities of 1 MW or less, currently meet the requirements for a qualifying facility exempt from certification filing at FERC by being under 1 MW (under FERC Order 732), SDG&E requires no additional documentation at this time. NEM-ST customers interconnecting a REGF with a capacity greater than 1 MW that are also electing to receive Net Surplus Compensation shall provide notice to the Utility that it is self-certifying such facility as a Qualifying Facility pursuant to the Public Utility Regulatory Policies Act of 1978 by properly completing and filing FERC Form No. 556 with the FERC. FERC Form No. 556 is not a requirement of interconnection.

      Eligible Qualified Customers have the option to carry over NSC to future 12-month periods (as a bill credit) or can elect a monetary payment, if the amount is greater than one dollar ($1). Payments for NSC shall be reduced by any amount the customer owes to the utility.

   g) Greenhouse Gas Allowance Revenue Return: For customers eligible under Schedule GHG-ARR, volumetrically-based California (CA) Climate Credits will net when customers generate. Checks issued to NEM customers electing an off-bill payment for Net Surplus Compensation will incorporate any remaining CA Climate Credits.

9. Monthly Billing: The Utility shall provide Qualified Customers with eligible customer-generator production and individual consumption information with each regular monthly bill. The information shall include the current monetary balance owed to the Utility for the net energy consumed in the current Relevant Period. Qualified Customers shall pay any balance due for net energy consumed monthly. Any remaining credit over a monthly billing cycle shall be carried over to the following monthly billing period, until the end of the Relevant Period.

   Qualified Customers shall not be eligible for the Level Pay Plan option set forth in Rule 9.

10. Generator Limitation: Except as permitted under SC 11, no generator shall be included behind the above-described Generator Output Meter other than a Solar Generator. T

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

11. Behind the Meter Isolated Operation: The Eligible Generator can be operated in isolation to provide backup/standby services to one or more Benefitting Accounts during a grid outage or testing periods. All loads served during isolation mode should have the same Point of Common Coupling as the Generating Account. During isolated operation, participating accounts must be configured such that no load or generation is registered on the Generating or Benefitting Account meters. Prior to installing a new Eligible Generator or reconfiguring an existing Eligible Generator to provide backup services, the Owner or Operator must receive written approval from SDG&E confirming that the reconfiguration of the Eligible Generator complies with SDG&E's electrical and interconnection requirements for the requested reconfiguration.

    Planned or Emergency Outages: During planned or emergency outages, operation in isolation of REGF and storage is permitted to serve onsite loads as described in this SC. N N

12. Any Customer Generator participating in SOMAH with a new solar electricity generating facility who enters into a new net energy metering contract (for example, form 142-02760.5 Interconnection Agreement for Virtual Net Energy Metering for SOMAH) shall submit a completed form 142-02763 – NEM/VNEM Inspection Report ("Inspection Report") to SDG&E. The Inspection Report shall be prepared by a California licensed contractor who is not the owner or operator of the facility and meter. A California licensed electrician shall perform the inspection of the electrical portion of the facility and meter and sign the Inspection Report. If an inspection is required, the customer shall submit the fully completed Inspection Report to SDG&E within 90 days of the customer becoming the customer of record at this account, or else the customer agrees to disconnect its Generating Facility and inform SDG&E it no longer will take service under net energy metering rate Schedule NEM-ST or Schedule VNEM-SOMAH. By signing the Interconnection Agreement, the Inspection Report shall be incorporated into the Interconnection Agreement.

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

13. VNEM-SOMAH Grandfathering Provisions T L

This Special Condition is applicable to all Qualified Customers receiving service on this Schedule or where the Owner or Operator has submitted all documentation necessary to receive service on this Schedule.

a) System Modifications - Generating Facilities eligible for the program that are modified and/or repaired shall remain eligible for the remainder of the 20-year life of the system period if 1) the modifications and/or repairs do not increase the Generating Facility by more than the greater of (a) 10 percent of the SOMAH Generating Facility's nameplate rating capacity, as established when the Generating Facility was originally interconnected, or (b) 1 kW; and 2)provided the modifications and/or repairs do not result in the Generating Facility exceeding the Customer's annual onsite load. Qualified Customers making modifications and/or additions to their Generating Facilities that exceed the 10 percent or 1 kW limit referenced above have the option of either metering the additions and/or modifications separately under another eligible tariff, or having the entire Generating Facility served under another eligible tariff, subject to the terms and conditions contained therein. L

b) Ownership Transferability - Generating Facilities eligible for bill credits for the life of the program, and up to a 20-year life of the system period, shall not lose their eligibility if transferred to a new owner, operator, or SDG&E account, provided the Generating Facility is eligible for the SOMAH program and participants are deemed eligible by the Program Administrator, and remains at its original location. The transfer of an existing Generating Facility to a new location is considered a new installation requiring a new Interconnection Agreement that is subject to the applicable tariffs in place at the time the new Interconnection Request is completed.

c) Paired Energy Storage Systems - To the extent that eligible energy storage systems are considered an addition or enhancement to the Generating Facility served under this Schedule, the energy storage systems shall be treated in the same way, and subject to the same transition period, as the Generating Facilities to which they are connected.

14. Temporary Applicability Limitation for Schedule VNEM-SOMAH T

All Qualified Customers in a single VNEM-SOMAH arrangement who take service in combination with a TOU rate must take service on the same TOU rate structure (i.e., a 3 period TOU structure with a 4pm-9pm on-peak period). If the VNEM arrangement includes a meter served under an agricultural rate then all Qualified Customers in the VNEM-SOMAH arrangement must be served under 3 period TOU structure with an 11am-6pm on-peak period. These limitations will apply until such time that SDG&E has developed the system capability to accommodate both TOU rate structures in a single VNEM arrangement.

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (continued)

15. VNEM-SOMAH Paired Storage is defined as an energy storage device paired with a renewable electrical generating facility that meets the Renewables Portfolio Standard Guidebook[2] (RPS Guidebook) requirements to be classified as an "addition or enhancement", as described below, that is equipped with a physical, non-import relay or a functionally equivalent non-import configuration, as described in SDG&E's Electric Distribution System Interconnection Handbook.

    If a current NBT-V REGF owner adds a storage device, there is no impact to the Generation Facility's current tariff status, including the legacy period. N N

    a) Types of VNEM-SOMAH Paired Storage

        The RPS Guidebook establishes two categories of energy storage that may be considered an addition or enhancement to a renewable electrical generation facility: "integrated" and "directly connected" storage.

        (i) Integrated Storage: Integrated Energy Storage is defined as a method of storing energy from a renewable energy resource that is integrated into the renewable electrical generating facility as part of the generation process. For example, in order to be defined as integrated, a battery based storage device must be capable of storing energy from only the renewable electrical generating facility.

        (ii) Directly Connected: Directly Connected Storage is defined as being both: (i) directly connected to the renewable electrical generating facility via an internal power line (i.e., power may not be transmitted from the renewable facility to the energy storage via an external distribution line) and (ii) the storage device must be operated as part of the renewable electrical generating facility.

    b) VNEM-SOMAH Paired Storage Interconnection Cost Responsibility

        VNEM-SOMAH Paired Storage will be subject to the same interconnection cost responsibility as the renewable electrical generating facility that it is paired with, except those with Eligible Generators sized larger than 1 MW seeking interconnection with SDG&E's Transmission System. In the event the storage device is added at a date later than the date permission to operate the renewable electrical generating facility was issued, the customer will be required to pay the same interconnection fees and costs that the renewable electrical generation facility would be required to pay, as provided for in Electric Rule 21.

        Customers with Generating Facilities sized larger than 1 MW with paired storage seeking interconnection with SDG&E's Transmission System shall be subject to applicable interconnection cost responsibility provisions set forth in the CAISO Tariff.

2. www.energy.ca.gov/renewables/documents/index.html#rps

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (Continued)

16. Prevailing Wage

California Public Utilities (PU) Code 769.2 requires a contractor that installs a Renewable Electrical Generation Facility (REGF) or associated battery storage to comply with prevailing wage requirements in order for the facility to participate in a tariff developed pursuant to PU Code Section 2827 or 2827.1. These requirements are stated in PU Code 769.2 and in case of any discrepancy between tariff language and the PU Code, the language in the PU Code prevails.
The requirements are:

1 - The contractor shall pay each construction worker employed, at minimum, the general prevailing rate of per diem wages, except that an apprentice registered in a program approved by the Chief of the Division of Apprenticeship Standards shall be paid, at minimum, the applicable apprentice prevailing rate.

2 - The contractor shall maintain and verify payroll records pursuant to Section 1776 of the Labor Code and make those records available for inspection and copying as provided in that Section. The contractor shall not be required to provide copies of certified payroll records to any entity other than the Department of Industrial Relations or the California Public Utilities Commission (Commission). Pursuant to Decision 23-11-068 the contractor may also be required to provide these records to any entity that the Commission designates to act on its behalf to implement this requirement.

3 - The contractor shall biannually, on July 1 and December 31 of each year, submit to the Commission digital copies of its certified payroll records for projects. Contractors may submit their records on a voluntary basis more often than the biannual requirement stated in PU Code 769.2. The contractor's submission of payroll records is a condition to access tariffs developed pursuant to PU Code Section 2827 or 2827.1 for a customer REGF subject to PU Code Section 769.2. T N N

The requirements of PU Code Section 769.2 do not apply to projects with a complete interconnection application submission date before January 1, 2024. If a customer or contractor provides documentation confirming that the facility that they are applying for was built on or before December 31, 2023, the prevailing wage requirements will not apply to that project. All projects with an interconnection application submission date on or after January 1, 2024, including applications to modify an existing REGF, are subject to the PU Code 769.2 requirements with the following exceptions: T N T

1 - A residential REGF that has a maximum generating capacity of 15 kilowatts or less of electricity.
2 - A residential REGF that is installed on a single-family home.
3 - A project that is a public work, as defined in Section 1720 of the Labor Code, and that is subject to Article 2 (commencing with Section 1770) of Chapter 1 of Part 7 of Division 2 of the Labor Code.
4 - A REGF that serves only a modular home, a modular home community, or multiunit housing that has two or fewer stories.

a. Modular Home: Modular home, although better constructed, is like manufactured home (as defined in the California Health and Safety Code) where both are constructed offsite. Unlike manufactured home, modular home must meet the same local or state building codes as an on-site home. Modular home does not have the requirement to have a wheeled chassis permanently attached. N
b. Modular Home Community: A community with two or more Modular Homes. N

(Continued)

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (Continued)

16. Prevailing Wage

If PU Code 769.2 applies, the customer must execute the **Prevailing Wage Disclosure Form (142-02783)** and submit the form with their interconnection application, and customer's contractor shall confirm to SDG&E that it is up to date with their past required submittals of payroll records.

If customer's contractor has been found to have willfully violated PU Code 769.2 in connection with the construction of customer's REGF, *that facility* shall not be eligible to receive service pursuant to a tariff developed based on PU Code Sections 2827 or 2827.1. Only in the case of multi-tariff configuration, where there is more than one generator behind the same utility billing meter (renewable or not), SDG&E will treat all the generators as one system and therefore none of the renewable generators will be served on tariffs developed based on PU Code Section 2827 or 2827.1, and those renewable generators will be compensated based on PURPA compliant tariff, regardless which facility is subject to the violation of PU Code 769.2. T N | N

If a willful wage violation is alleged, the customer's REGF will remain on the tariff until the Department of Industrial Relations (Department) or a court completes their assessment and makes a final determination. At that time, if the contractor is found in willful violation, then SDG&E will be required to remove the customer's REGF implicated by the violation from the applicable NEM/NBT tariffs and transition the Customer to the PURPA compliant tariff on the next billing cycle (after the required 30/60-day notification). Pursuant to Decision 23-11-068, a customer's single generating account with no benefitting/aggregated account will get a 30-day notice. Customers' single generating account with benefitting/aggregated accounts will get a 60-day notice. While on the PURPA compliant tariff, the REGF will be compensated based on that tariff and the REGF may be subject to Departing Load and Standby charges (if applicable), as the REGF is no longer served under the applicable NEM/NBT tariffs. The customer's REGF billing meter will be trued up before transitioning to the PURPA compliant tariff and any credits remaining after true-up will be forfeited. If the customer's REGF is enrolled in a virtual tariff all benefiting/aggregated accounts will also lose their credits.

If the violation occurs on a single generating account and there are no benefitting/aggregated account(s), SDG&E will notify the Customer at least 30 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If the violation occurs on a single generating account with benefitting/aggregated account(s) SDG&E will notify the Customer(s) at least 60 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If a willful wage violation is reversed or nullified by the determining body and the generation account holder or Customer/property owner provides documentation to the utility evidencing such reversal/nullification, then the REGF will be able to regain access to the appliable NEM/NBT tariff as of the next billing cycle after the reversal of the willful wage violation.

Beginning January 1, 2025, contractors who have been found in violation of the prevailing wage rule in PU Code Section 769.2 will not be permitted to apply to interconnect facilities utilizing tariffs established pursuant to PU Code sections 2827 or 2827.1.

SCHEDULE VNEM-SOMAH

VIRTUAL NET ENERGY METERING - SOLAR ON MULTIFAMILY AFFORDABLE HOUSING (VNEM-SOMAH)

SPECIAL CONDITIONS (Continued)

17. Plug-in Electric Vehicle (PEV) Submetering

Per Decision 22-08-024, customers participating in PEV Submetering, where electricity is furnished for PEV charging, are not eligible for Schedule VNEM-SOMAH.

18. Virtual Dual-Tariff (VDT) N

The Virtual Dual Tariff (VDT) is applicable to a Benefitting Account that installs an additional generator behind the SDG&E customer meter while still being part of a virtual arrangement. Pursuant to Resolution E-5374, VDT arrangements are intended to primarily provide resiliency. The VDT is not offered for the generating account of the virtual arrangement; it is only available to the benefitting accounts.

Rule 21 Non-Export Generating Facility

The eligible VDT customer Rule 21 non-export system must meet all applicable safety, and performance standards established by the National Electrical Code, the Institute of Electrical and Electronics Engineers, and accredited testing laboratories such as Underwriters Laboratories and, where applicable, rules of the California Public Utilities Commission regarding safety and reliability.

There is no limit on the number of such VDT customers per VNEM-SOMAH arrangement or network. The VDT is not offered for the generating account of the virtual arrangement; it is only available to the benefiting accounts.

VDT customers must install at their cost, or the property owner's cost, any necessary equipment to prevent the non-export Generating Facility from exporting to the grid in accordance with Rule 21 non-export requirements. A SDG&E approved physical non-export relay or a functionally equivalent non export configuration that meets the requirements of Rule 21 to prevent the system from exporting to the grid is permitted.

Virtual Dual-tariff customers with access to VNEM-SOMAH and a non-export system(s) will follow VNEM-SOMAH Net Surplus Compensation rules.

Legacy period: the Rule 21 non-export system will not alter the original VNEM-SOMAH legacy period.

Non-bypassable Charges (NBC): VDT customers will pay for all the applicable NBCs based on all their usage from the grid in accordance with their Otherwise Applicable Schedule (OAS).

Standby (Schedule S) and departing load (Schedule CGDL-CRS): Rule 21 generators are subject to Standby and departing load charges.

Billing Service Charges – An eligible VDT customer shall remit one time service charges of $25.00 per Dual-tariff Account. These set-up fees may not be charged for tenancy changeovers and shall be limited to no more than $500 per Property. N